

M&A CASE STUDY

HDFC Ltd – HDFC Bank Merger

Deal Structure, Valuation, Synergies & Post-Merger Outcome

DEAL VALUE ~\$40B	TYPE Reverse Merger	COMPLETED Jul 2023	COMBINED ASSETS ₹17.87L Cr
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Equity Research & Investment Banking Portfolio Series

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1. Executive Summary

On April 4, 2022, HDFC Bank Ltd and Housing Development Finance Corporation (HDFC Ltd) announced one of the largest financial sector mergers in global history. The transaction, structured as a reverse merger, brought together India's largest private bank with its parent housing finance company, creating a combined entity with a balance sheet exceeding ₹17.87 lakh crore.

The merger became effective on July 1, 2023, roughly 15 months after announcement, following approvals from the RBI, SEBI, IRDAI, CCI, and the National Company Law Tribunal. Under the terms of the deal, HDFC Ltd shareholders received 42 shares of HDFC Bank for every 25 shares held, with HDFC Ltd ceasing to exist as a separate entity.

This case study walks through the deal's structure and rationale, the valuation methodology behind the swap ratio, the revenue and cost synergies the combination was designed to capture, and an assessment of how the merger has performed through FY24 and FY25.

Why this deal matters

It is the largest-ever merger in Indian corporate history and a template case for reverse mergers in regulated financial services. It also offers a live, multi-year dataset for assessing whether large bank-NBFC combinations actually deliver on their synergy promises.

2. Deal Overview & Timeline

2.1 Parties Involved

Entity	Role	Profile
HDFC Bank Ltd	Acquirer / Surviving entity	India's largest private sector bank (est. 1994), ~2.0% ROA, tech-led retail and corporate banking
HDFC Ltd	Target / Absorbed entity	India's premier housing finance company (est. 1977) and promoter of HDFC Bank, ~₹6.9L Cr loan book

2.2 Timeline of Key Events

Date	Milestone
April 2022	Merger announced; boards approve scheme; swap ratio of 42:25 set
July 2022	Overwhelming shareholder approval at both entities; regulatory filings begin
Oct 2022 – Mar 2023	Sequential approvals from RBI, CCI, NCLT, and stock exchanges
July 1, 2023	Merger effective; HDFC Ltd ceases to exist; HDFC Bank absorbs all assets and liabilities
FY25 onward	Integration and stabilisation phase; CD ratio brought down from ~110% to 96%

3. Deal Structure & Rationale

3.1 The Swap Ratio

Shareholders of HDFC Ltd received 42 shares of HDFC Bank for every 25 shares of HDFC Ltd they held — implying an exchange ratio of approximately 1.68 HDFC Bank shares per HDFC Ltd share. This was a 100% share-swap transaction with no cash consideration involved.

Parameter	Detail
Swap ratio	42 HDFC Bank shares : 25 HDFC Ltd shares
New shares issued	~3,444 crore HDFC Bank shares to HDFC Ltd shareholders
HDFC Ltd shareholding in combined entity	41%
Consideration structure	100% share swap; no cash component
Promoter holding post-merger	0% — HDFC Bank becomes 100% publicly owned

3.2 Why a Reverse Merger?

In a typical acquisition, the parent acquires the subsidiary. Here the structure was inverted: the parent (HDFC Ltd) merged into its own subsidiary (HDFC Bank). This was a deliberate regulatory choice, not a stylistic one.

Regulatory logic

RBI rules prevent a non-banking financial company from owning a banking licence in this combined structure. Folding HDFC Ltd into HDFC Bank — rather than the reverse — was the only clean path to combining the two balance sheets under a single banking entity.

The transaction required simultaneous coordination across five regulators — RBI (banking), SEBI (capital markets), IRDAI (insurance, given HDFC's insurance subsidiaries), CCI (competition law), and the NCLT (court sanction of the scheme). This multi-regulator dependency was the primary driver of the 15-month timeline from announcement to completion.

3.3 Treatment of HDFC Group Subsidiaries

HDFC Life Insurance, HDFC Asset Management Company, and HDFC Ergo General Insurance remained separately listed entities and were not absorbed into the bank. HDFC Bank instead inherited HDFC Ltd's shareholding stakes in these companies, effectively creating a universal financial services group anchored around a single banking licence.

4. Valuation Analysis

4.1 Pre-Deal Market Valuation

HDFC LTD MKT CAP ₹4.4L Cr	HDFC BANK MKT CAP ₹8.3L Cr	COMBINED ENTITY ₹12.5L Cr
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4.2 How the Swap Ratio Was Derived

Independent valuers — Bansi S. Mehta & Co. for HDFC Ltd and MSKA & Associates for HDFC Bank — arrived at the exchange ratio using a blend of standard valuation methodologies: market price method, net asset value, comparable earnings per share, book value, and discounted cash flow analysis.

Method	Application
Market price method	30-day and 60-day VWAP of both stocks on NSE/BSE
Net asset value (NAV)	Adjusted book value of both balance sheets post fair-value adjustments
Comparable EPS / P/E	Relative earnings multiples of comparable banks and HFCs
Discounted cash flow	Forward earnings discounted at cost of equity for each entity

The resulting 42:25 ratio implied roughly 1.68x HDFC Bank shares per HDFC Ltd share — closely tracking the prevailing market price ratio of approximately 1.61x at the time of announcement, implying a modest ~4% premium for HDFC Ltd shareholders.

A note on dilution

HDFC Ltd traded at roughly 3.5x book value versus HDFC Bank's 4.2x book value at announcement. On a pure book-value basis, the swap ratio was mildly dilutive for existing HDFC Bank shareholders in the short run — a cost the market was willing to accept given the scale of the long-term synergy case.

4.3 Pro-Forma Combined Financials (FY23 basis)

Metric	HDFC Bank (standalone)	HDFC Ltd	Combined
Total assets	₹22.5L Cr	₹6.9L Cr	₹17.87L Cr*
Net worth	₹2.6L Cr	₹1.1L Cr	~₹3.3L Cr
Return on assets	2.0%	2.3%	~2.0%
Cost-to-income ratio	40.4%	~12%	~35.2%
Gross NPA (₹ crore)	~18,000	~8,800	~26,800

*Post intercompany eliminations between the two balance sheets.

4.4 Shareholder Returns Since the Merger

HDFC Ltd shareholders, who became HDFC Bank shareholders on the swap date, have seen approximately 30% price appreciation in their converted holdings. HDFC Bank's own pre-merger shareholders have generated roughly 24% excess return over the relevant banking sector benchmark since the deal closed — though performance has been more muted than some peers during the integration phase as the market digested near-term margin pressure.

5. Synergy Thesis

CROSS-SELL OPPORTUNITY	MORTGAGE BOOK ABSORBED	COMBINED BRANCHES
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70%	₹5.6L Cr	8,300+
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5.1 Revenue Synergies

- Mortgage cross-selling: roughly 70% of HDFC Ltd's customer base held no HDFC Bank account. The bank can now distribute home loans across its much larger retail customer base through existing branches at near-zero incremental acquisition cost.
- Liability-funded mortgages: HDFC Ltd historically funded its loan book by borrowing at 7–8% in wholesale markets. HDFC Bank funds itself at 4–5% via low-cost CASA deposits — the same mortgage loan funded 200–300 bps cheaper translates directly into margin expansion.
- Universal banking upsell: HDFC Ltd's single-product mortgage customers can now be cross-sold savings accounts, fixed deposits, mutual funds, insurance, and credit cards — converting transactional customers into full banking relationships.

5.2 Cost Synergies

- Branch and back-office consolidation: HDFC Ltd's 600+ standalone loan offices were rationalised into existing bank branches, reducing duplicate rent, staffing, and operating overhead.
- Technology stack consolidation: HDFC Ltd's loan management system and underwriting rule engines were absorbed into HDFC Bank's broader technology infrastructure, avoiding duplicate platform investment.
- Funding cost reduction: high-cost HDFC Ltd non-convertible debentures and market borrowings are being progressively replaced with low-cost bank deposits over time, reducing the blended cost of funds on the combined loan book.

6. Post-Merger Outcome (FY24–FY25)

6.1 Key Performance Indicators Since Completion

Metric	FY25 Result	Read
Deposit growth (YoY)	+14.1%	Positive — outpacing loan growth deliberately
Credit-deposit ratio	110% → 96%	Positive — normalising toward pre-merger levels
Incremental deposit market share	14.6%	Positive — bank regaining share lost post-merger
Loan book growth (YoY)	+5.4%	Cautionary — deliberately slowed to stabilise CD ratio
Net interest margin	~3.4%	Cautionary — compressed by high-cost legacy borrowings

6.2 Was It a Good Deal?

Short term: mixed, but expected

Net interest margin compression, an elevated credit-deposit ratio, and slower loan growth were all anticipated integration costs going into the deal. These were broadly understood by the market as transitory, and HDFC Bank's stock held up reasonably well post-merger as investors looked through near-term noise toward the structural synergy case.

Long term: structurally compelling

The combination creates the only Indian bank with a dominant mortgage franchise, a best-in-class liability base, and combined access to over 100 million customers across both legacy entities. No competitor can replicate this combination organically in the near term. The strategic logic is sound; execution discipline is now the key variable to watch.

Key risk to monitor

Mortgage book growth and net interest margin recovery are the central tests of the synergy thesis. If HDFC Bank cannot grow its housing loan book profitably at scale, the core rationale for the merger weakens considerably. FY26 results will be the clearest verdict yet on execution.

6.3 Comparable Indian Bank M&A Transactions

Deal	Size	Type	Outcome
Kotak Mahindra Bank – ING Vysya (2015)	₹15,000 Cr	Acquisition	Successful
State Bank of India – Associate Banks (2017)	₹50,000 Cr+	Reverse merger	Partially successful
IndusInd Bank – Bharat Financial (2019)	₹12,000 Cr	Acquisition	Successful
HDFC Ltd – HDFC Bank (2023)	~₹3.3L Cr	Reverse merger	Evolving

7. Conclusion

The HDFC–HDFC Bank merger stands as the largest and most structurally significant transaction in Indian banking history. Its rationale was sound: combine a best-in-class liability franchise with a best-in-class mortgage origination engine, under a single regulatory umbrella, to build India's most complete universal bank.

Two years into integration, the early evidence is encouraging on the liability side — deposit growth and CD ratio normalisation are ahead of plan — but the asset-side synergy, faster and more profitable mortgage growth, is still a work in progress. For a portfolio analysis, this deal offers a rare opportunity to track a live, multi-year synergy realisation story rather than a backward-looking, already-settled case.